

Global Strategy: Class #4

International Strategies and Governance Structures

Apple and Zara

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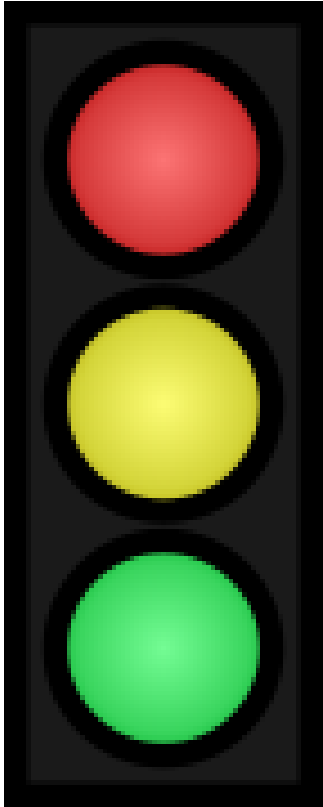
Last Class

- Where should we go? **CAGE (Cultural, Administrative, Geographic, and Economic) Framework.**
 - In international business it is fundamental to understand the “native point of view” (Malinowski)
 - Focusing only on the economic aspects (e.g., CPA) of the hosting country is a flawed approach
 - Hofstede’s Cultural Dimension Comparison brings an interesting toolkit to analyzing cultural differences
 - Liability of Foreignness (LoF) affects negotiation terms

TODAY

- Where should we go? **AAA Framework.**
 - Leveraging the benefits of international operations
 - Governance structures for international expansion
- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Minimizing opportunistic risks of *hold up*
 - Choosing the correct governance structure

What We Are Trying to Solve in the Global Module

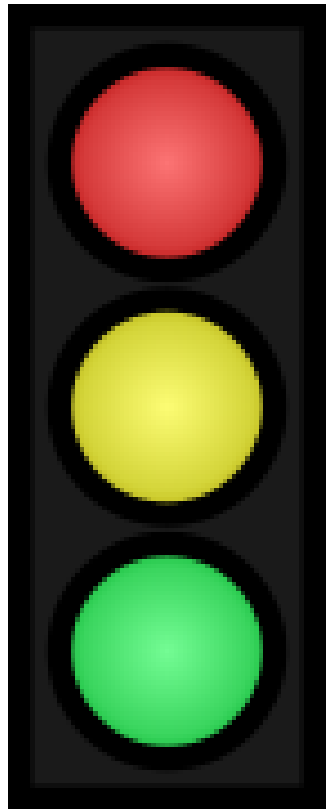


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Grolsch Beer
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

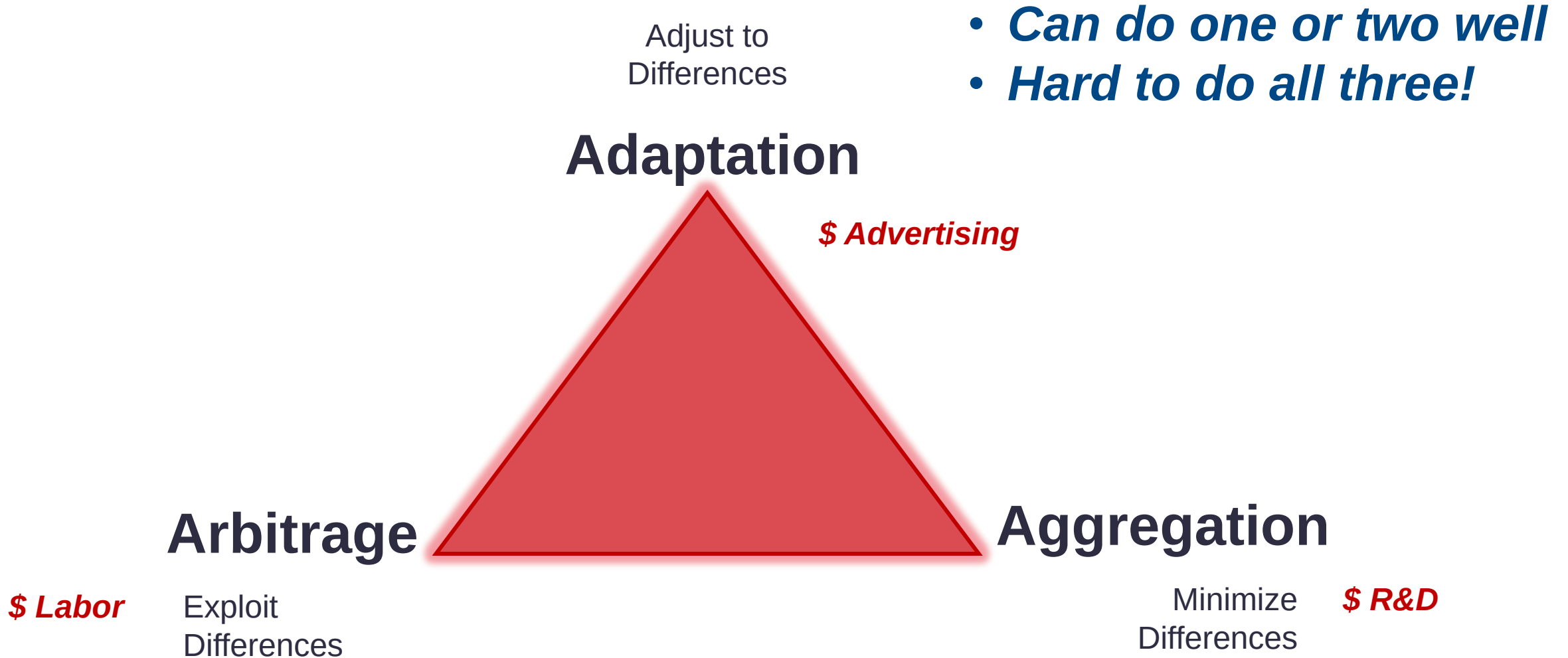
- Walmart in China
- Tata Group
- Natura

Managing Differences: The Central Challenge of Global Strategy

Ghemawat (2007). *Harvard Business Review*
85(3): 58-68



Choosing your global strategy: AAA Triangle

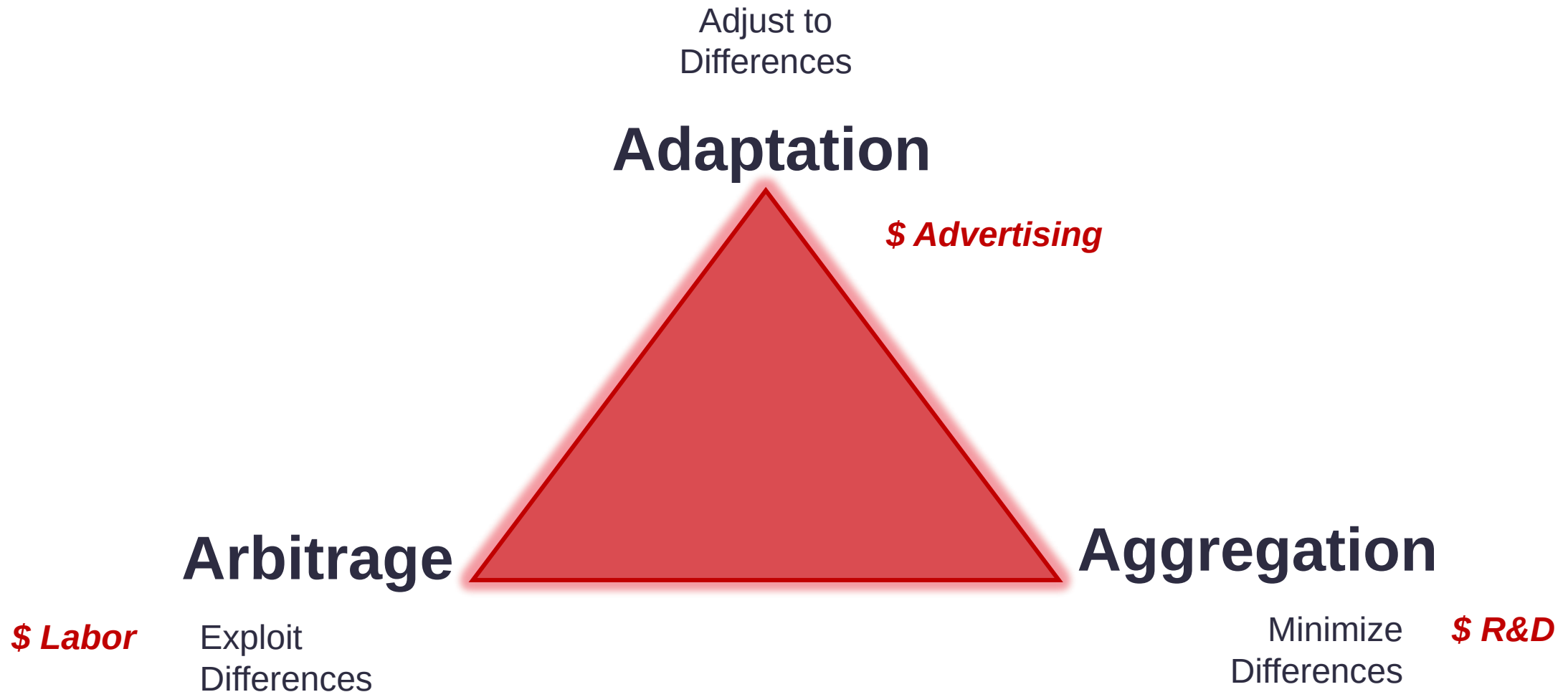


What is the key “A” feature that Apple is operating in Southeast Asia?

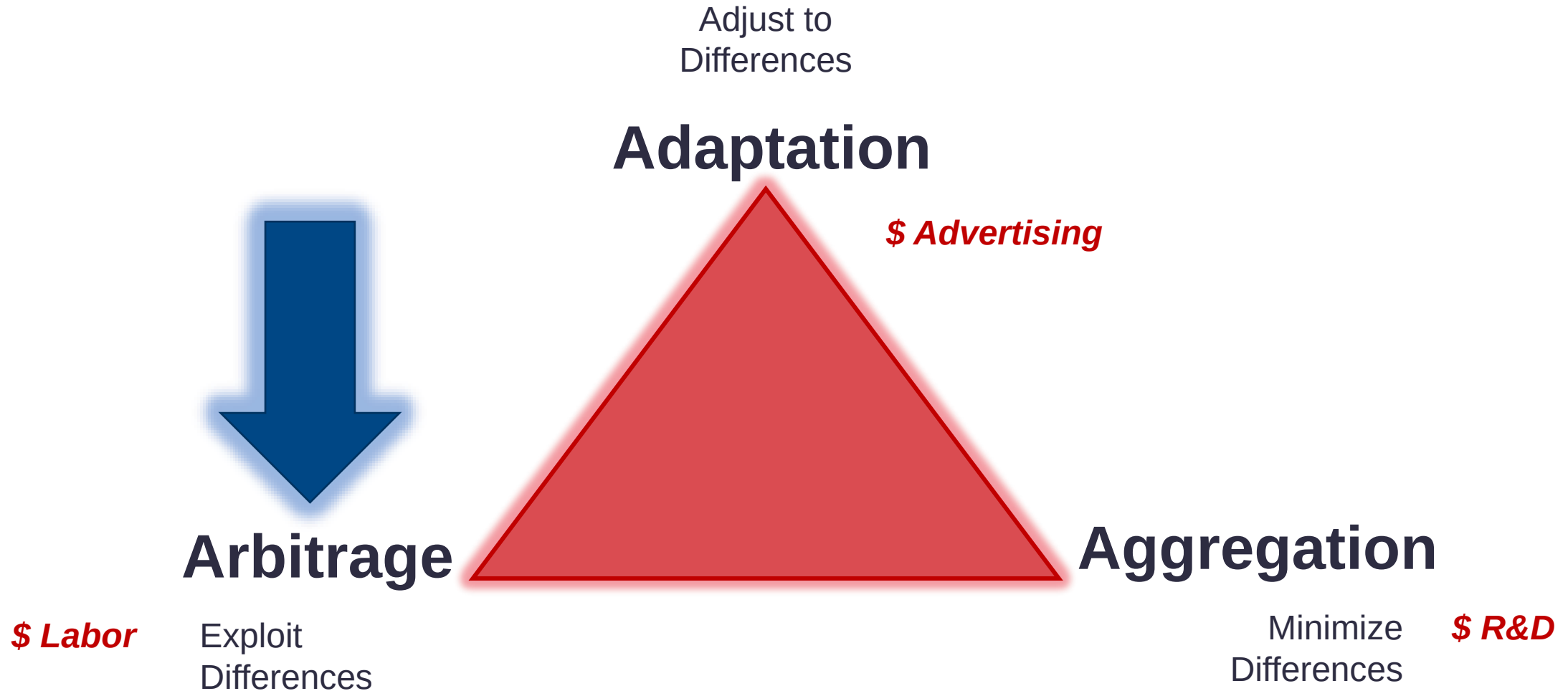
Simpson. “An iPhone Tester Caught in Apple’s Supply Chain” *Bloomberg Businessweek*. November 7th, 2013.



Choosing your global strategy: AAA Triangle



Choosing your global strategy: AAA Triangle



Apple's iPhone 5 production arbitrage

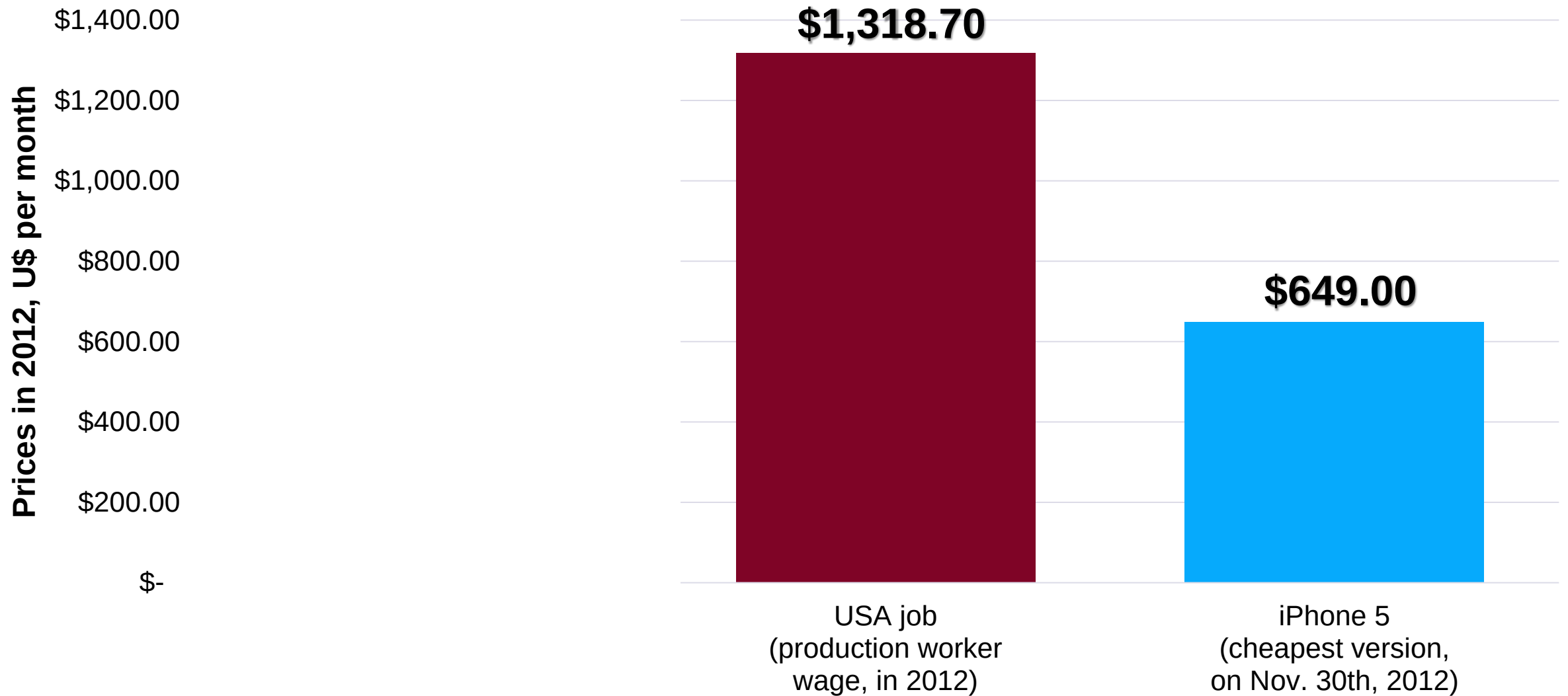
Prices in 2012, US\$ per month

\$1,400.00
\$1,200.00
\$1,000.00
\$800.00
\$600.00
\$400.00
\$200.00
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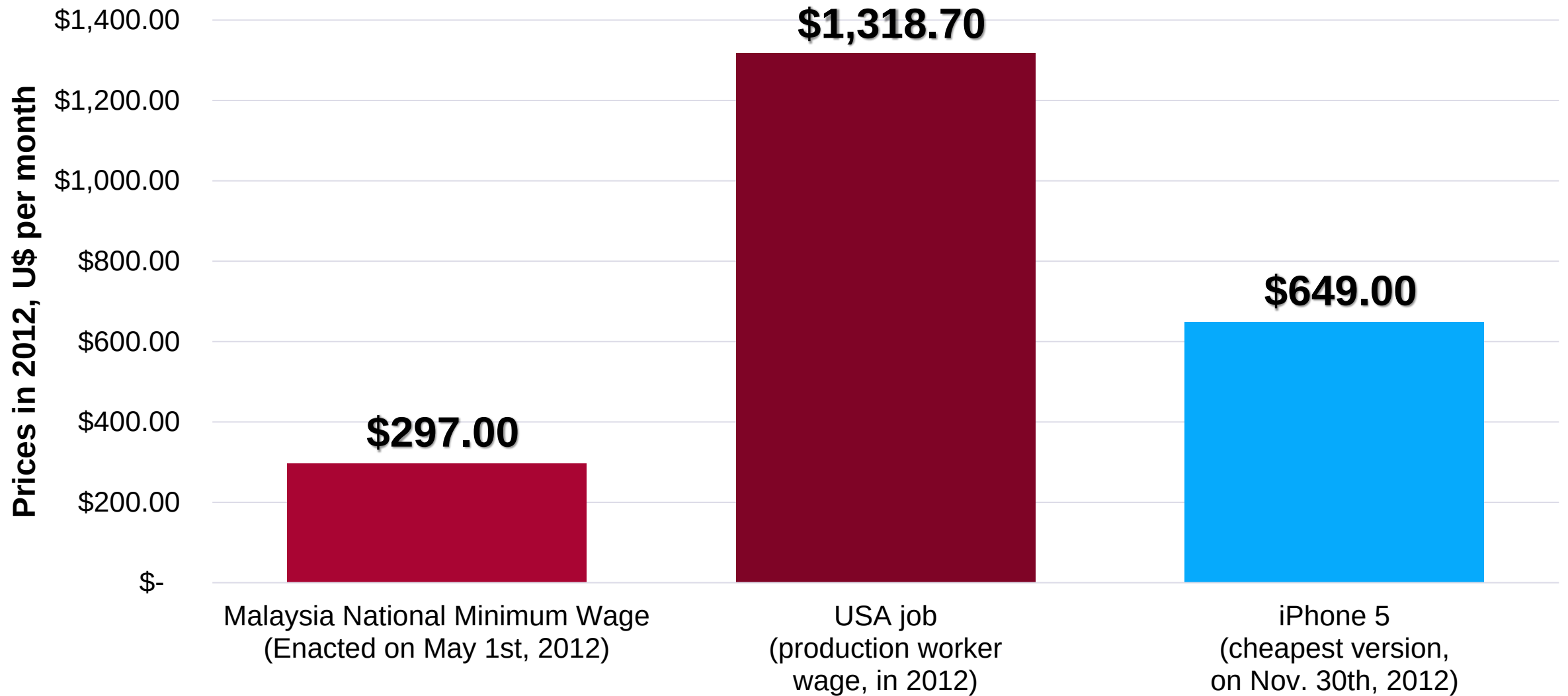
Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#) and Simpson (2013).

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Not only Apple does that...

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...Flextronics wage arbitrage

Prices in 2012, US\$ per month



Category	Value (US\$ per month)
Malaysia National Minimum Wage (Enacted on May 1st, 2012)	297.00

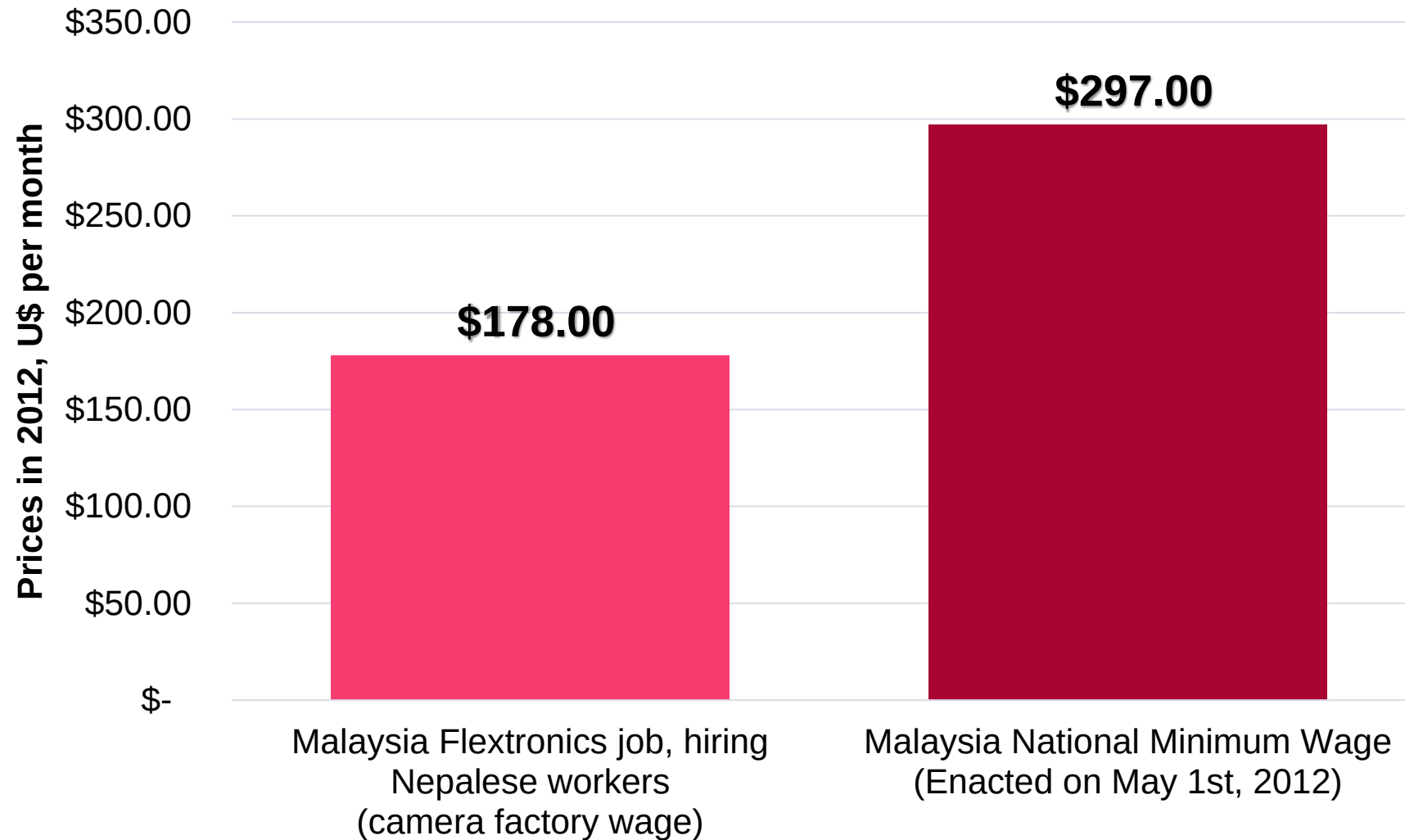
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Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

Not only Apple does that...

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Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

However, Flextronics is not the only one either...

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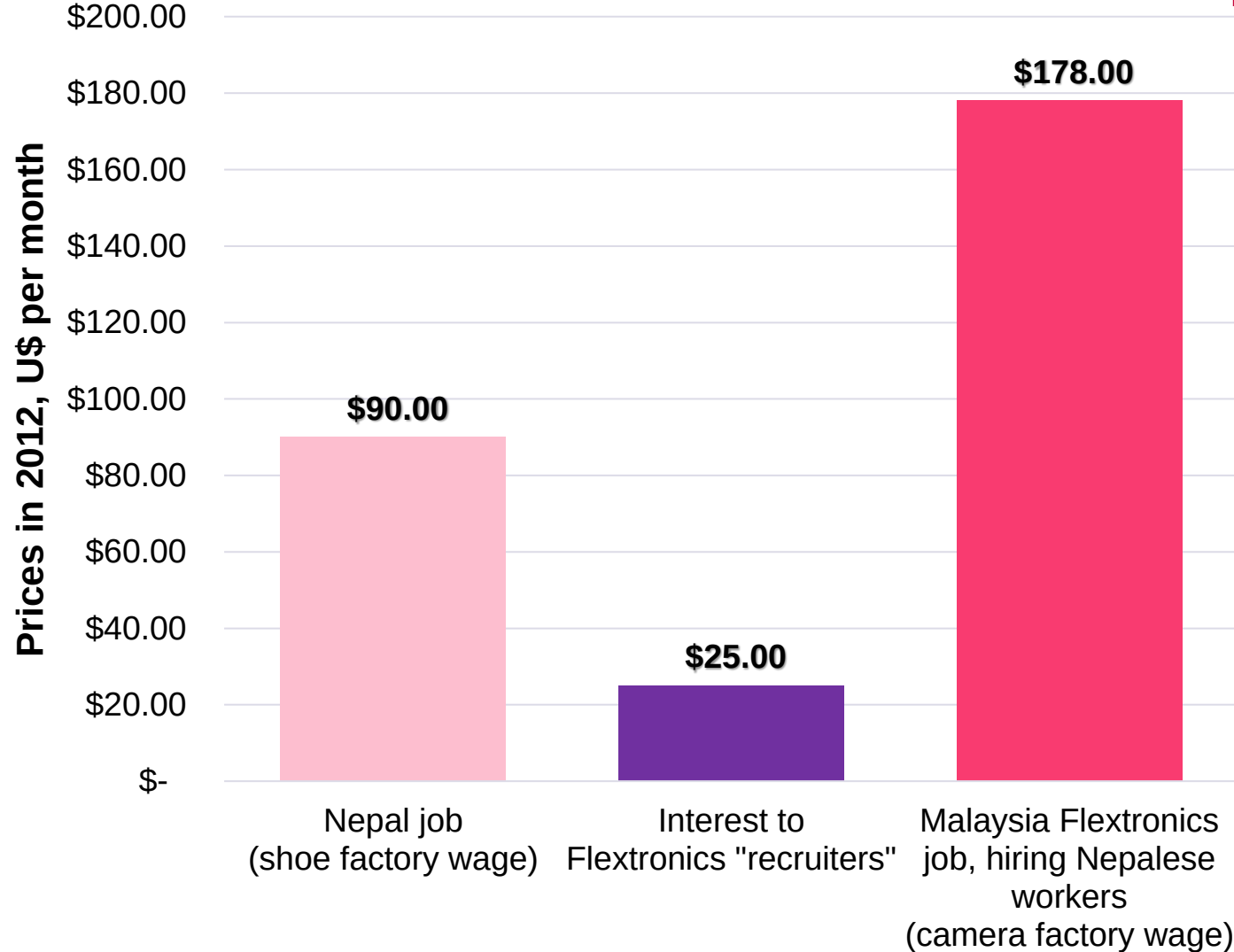
...Bibek Dhong's arbitrage



Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

However, Flextronics is not the only one either...

...Bibek Dhong's arbitrage



"I am in debt already, but now I need to borrow more on top of that to be able to go away [again]."

-- Bibek Dhong, Nepalese worker, former iPhone's camera tester at Flextronics Malaysia

Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).



[Video Link](#)

Apple's iPhone 5 production, "Arbitrage Chain"

MIGRATING LABOR

Apple's final-assembly operations are concentrated in China, but its component suppliers span hundreds of facilities across four continents

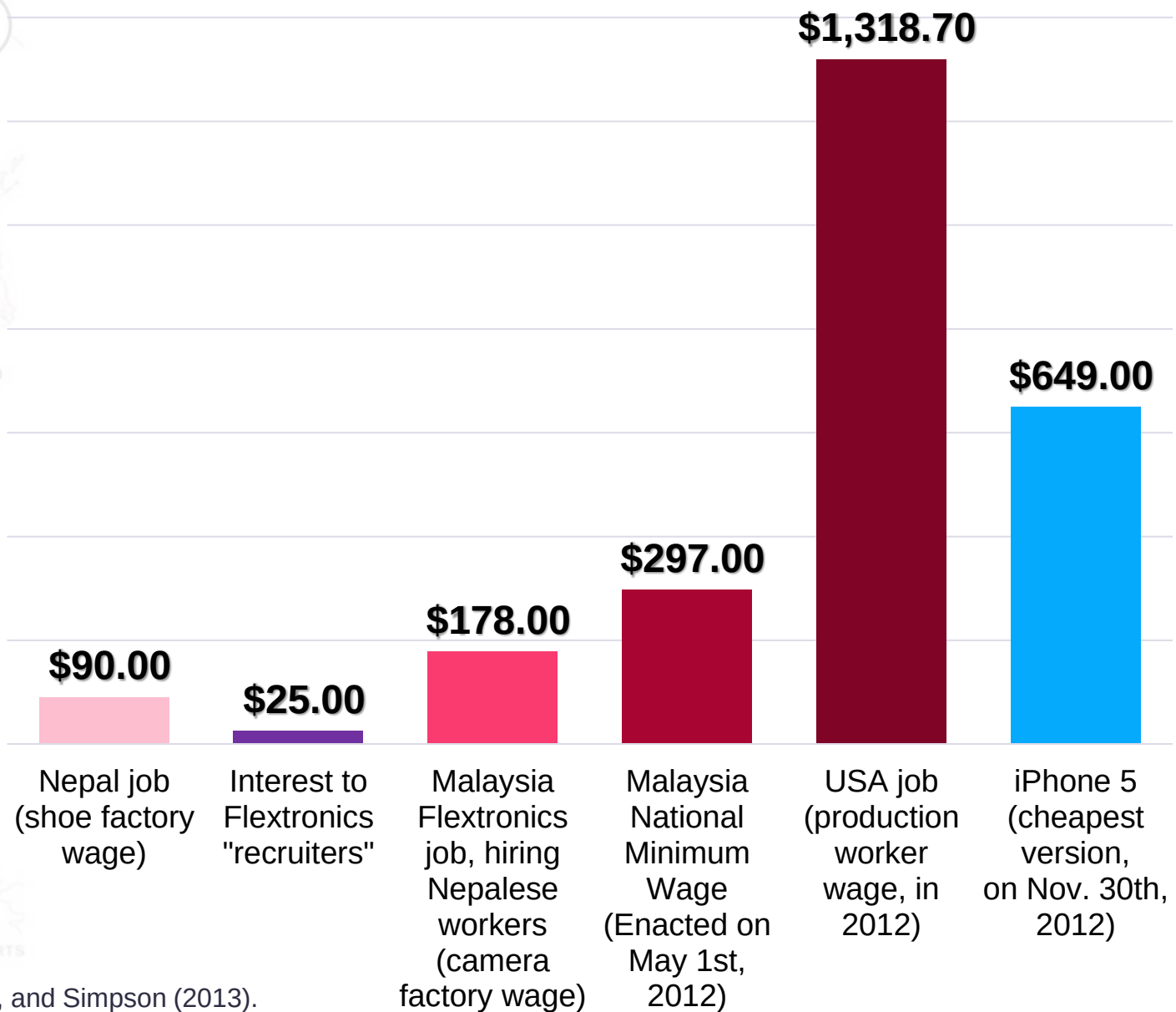
● Apple component supplier
● Apple final-assembly plant



GRAPHIC BY BLOOMBERG BUSINESSWEEK. DATA: APPLE COMPANY REPORTS

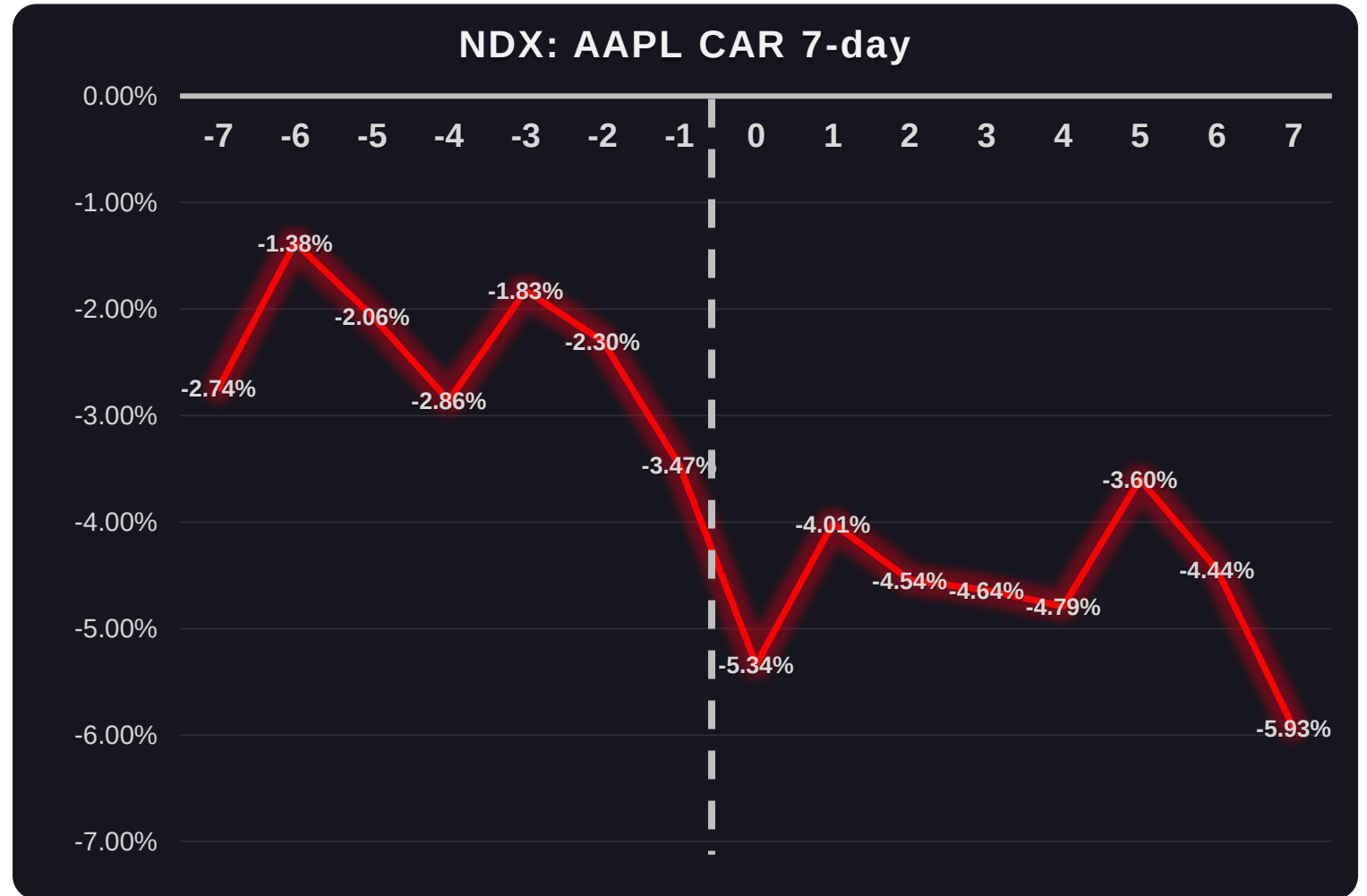
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Note: [New York Times](#), [US Bureau of Labor Statistics](#), [Washington Post](#), and Simpson (2013).

Reputational Risk with Financial Consequences



APPLE (NDX:AAPL) CAR 7-day from report release on November 7th, 2013, 9:52 PM EST.

Average: -2.38% Before vs. -4.66% After

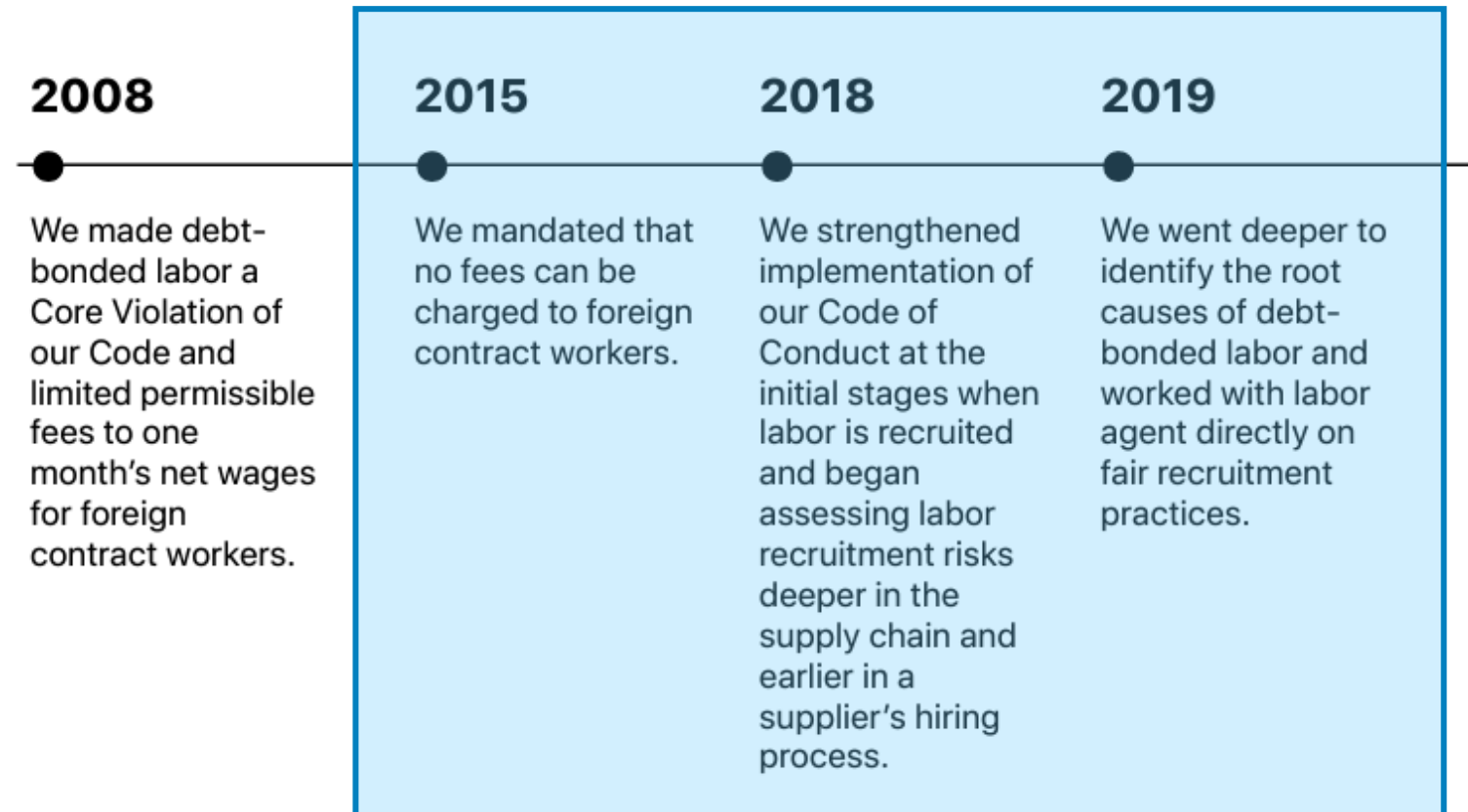
Apple's reaction

Apple's [2019 Statement of Efforts to Combat Human Trafficking and Slavery in Our Business and Supply Chains](#) (p.9)



2019 Statement on Efforts to Combat Human Trafficking and Slavery in Our Business and Supply Chains

Milestones in elimination of debt-bonded labor in our supply chain:



Choosing your global strategy: AAA Triangle

Adjust to
Differences

Adaptation

Be aware of the risks!

Arbitrage

Exploit
Differences

Aggregation

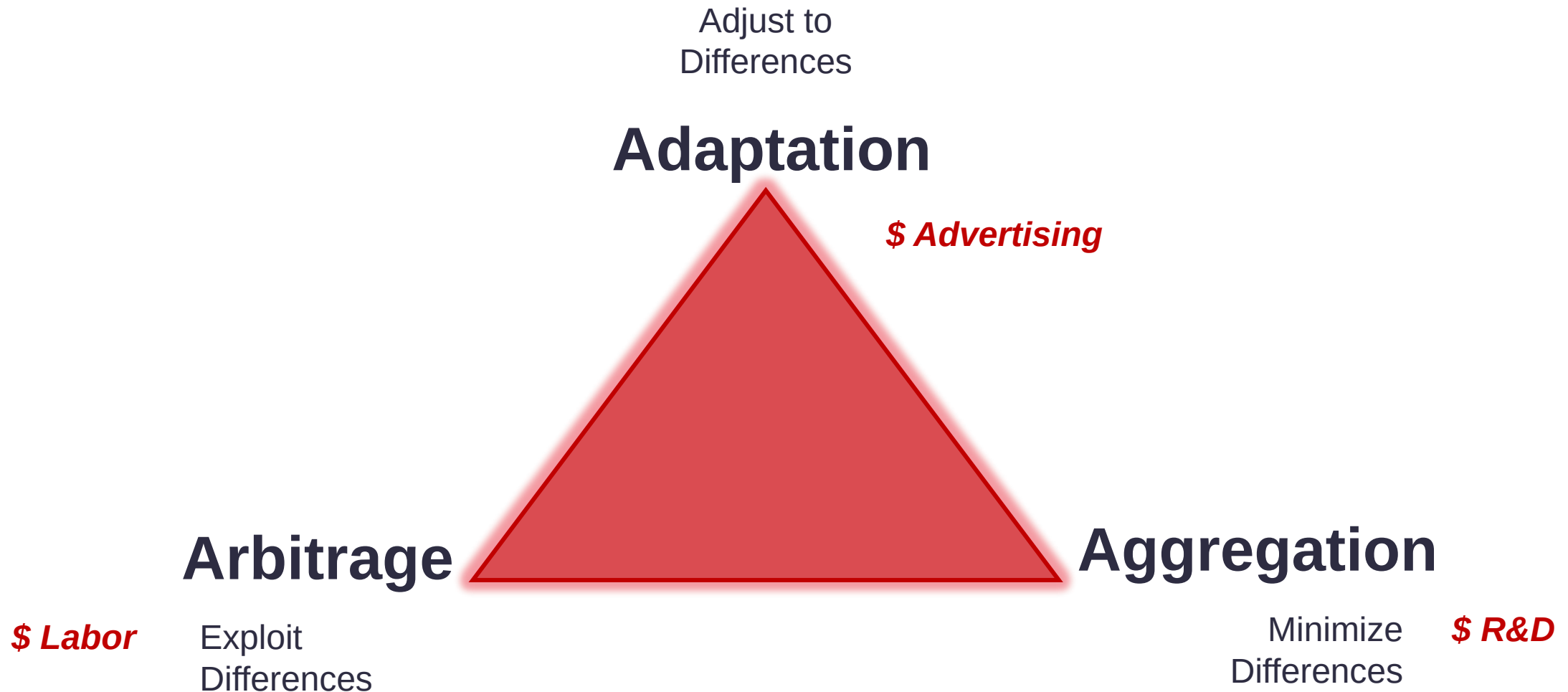
Minimize
Differences

How could Zara outperform its competitors?

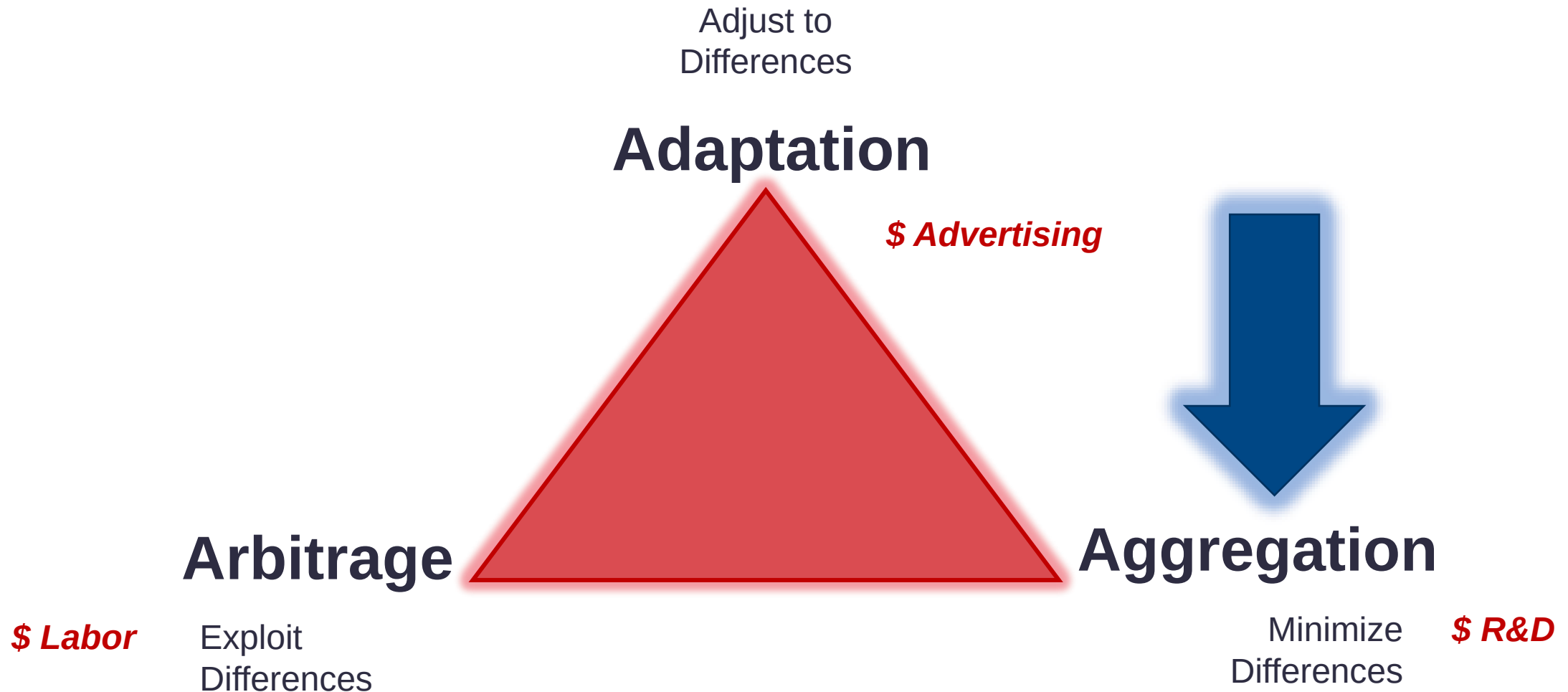
Ferdows, Lewis, & Machuca
(2004). "Rapid-Fire Fullfillment,"
Harvard Business Review,
82(11): 104-110.



Choosing your global strategy: AAA Triangle



Choosing your global strategy: AAA Triangle





Oliver Williamson

Minimizing Transaction Costs is the Best Strategy!

*“The mundane issue of **make-or-buy** not only goes to the essence of **transaction cost economizing** (...)”*

(Williamson, 1991: 82)

*“(...) **asset specificity** – which has reference to the ease with which an asset can be redeployed to alternative uses and by alternative users without loss of productive value (...) – **has had the greatest significance for examining the governance of contractual relations.**”*

(Williamson, 1991: 80)

Transaction Cost Economics Framework

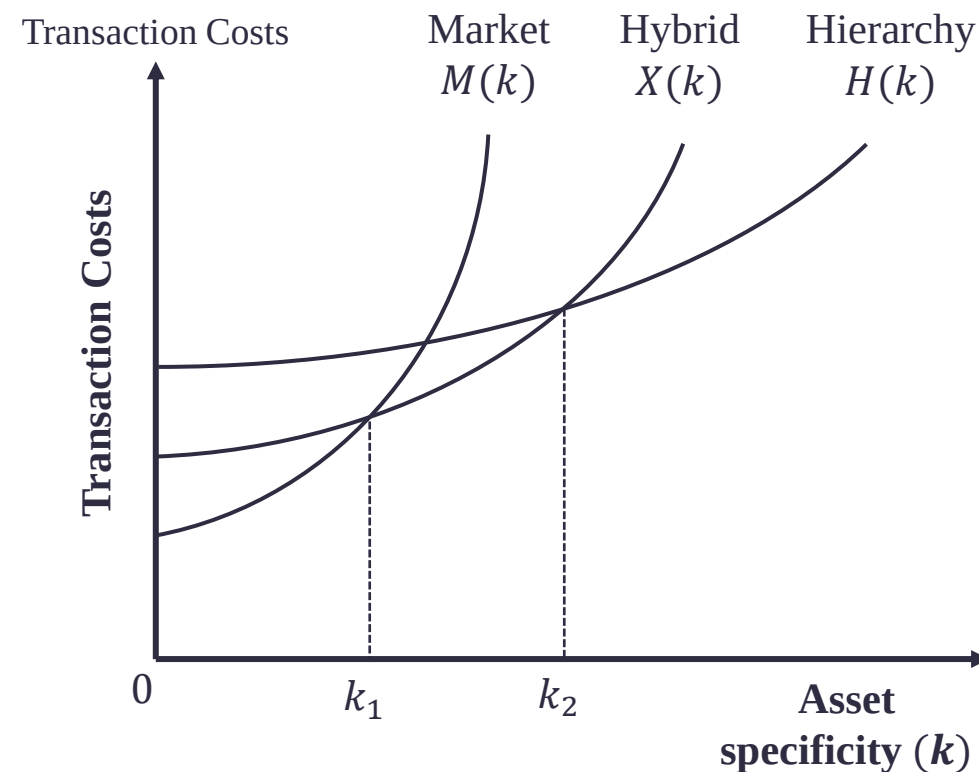
Three governance structures

- **Market $M(k)$:** import-export
- **Hybrid $X(k)$:** outsourcing contracts, alliances, joint-ventures
- **Hierarchy or Vertical Integration $H(k)$:** M&A, greenfield investments

Objective is to minimize Transaction Costs (lower level of curves possible)

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism (contractual hazard)**. Examples:

- Locational k : Railroad investment in a coal mine
- Dedicated k : Investment in specific human capital (programming language) used by only one firm
- Temporal k : Negotiation between milk producer and local dairy firm



Note: Williamson (1991).

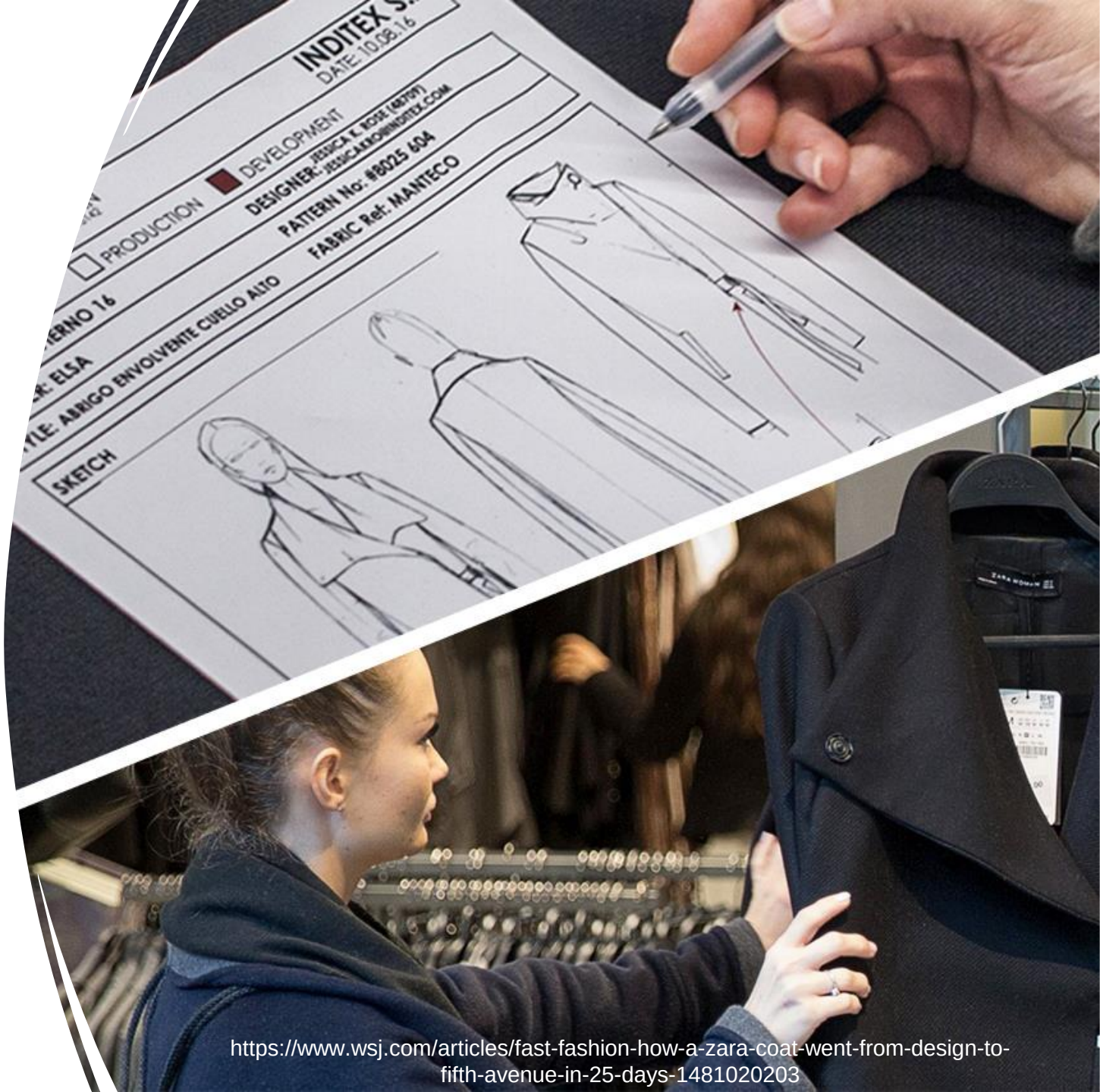


[Video Link](#)

Zara minimizes transaction cost of fashion's high temporal asset specificity

“Owning production assets gives Zara a level of control over schedules and capacities that, its senior managers argue, would be impossible to achieve if the company were entirely dependent on outside suppliers, especially ones located on the other side of the world.”

(Ferdows, Lewis, & Machuca, 2004: 109)



Meanwhile, competitors doing
Arbitrage face ...



Meanwhile, competitors doing
Arbitrage face ...

... Rana Plaza factory Collapse

- April 24th, 2013 – Dhaka, Bangladesh
- Garment factories, clients include:
 - *Benneton, Bonmarché, Prada, Gucci, Versace, Moncler, the Children's Place, El Corte Inglés, Joe Fresh, Mango, Matalan, Primark, and Walmart.*
- 1,134 total deaths and 2,500 injured
- Deadliest non-deliberate structural failure accident in modern human history.



Fast Fashion: How a Zara Coat Went From Design to Fifth Avenue in 25 Days

Few have been able to replicate the design-to-store pace that has made Inditex the sales leader

TCE minimization
becomes Zara's
Competitive Advantage

“The Spanish retailer’s rivals might move production closer to home, but they “just don’t have an organization set up to react quickly to what is trending,” said Liz Dunn, founder of Talmage Advisors, a retail consulting firm.

‘Simply put, the reason for Inditex’s success is short lead times: the ability to offer designs to the customer that other retailers do not yet have,’ Société Générale analyst Anne Critchlow said, adding that this allows the company to charge more than competitors. ‘Think of Zara not as a brand, but as a very speedy chameleon that adapts instantly to fashion trends.’”

Key Takeaways

- Where should we go? **AAA Framework.**
 - Advantages on *Arbitrage*, *Aggregation*, and *Adaptation* might help firms to have lower relative costs, gain economies of scale, and increase local relevance, respectively
 - AAA approach should be followed closely by managers given the risks it might impose to the firm reputation, operations, and financial results
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Minimizing opportunistic risks of *hold up*
 - Choosing the correct governance structure depending on the asset specificity is key

Next Class

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Entry modes and local competition

Looking Ahead: Entry Modes

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Irma Hunt, Allison Watts, and Sarah K. Bryant (2018) "Walmart's international expansion: successes and miscalculation," *Journal of Business Strategy* 39(2): 22-29.
 - Video (watch before class) Cheddar on: "Why Walmart Failed in Germany" (Cheddar Channel on Youtube). Click [here](#) to watch.
 - Walmart in China: Ali Farhoomand and Filip Ziolek. "Walmart in China: Challenging Alibaba's New Retail." Asia Case Research Centre, University of Hong Kong Case 19/643C
 - Optional Reading. Witold Henisz and Oliver Williamson (1999). "Comparative Economic Organization – Within and Between Countries," *Business and Politics* 1(3): 261-278.

QUESTIONS

- *Did it make sense for Walmart to enter foreign markets in the sequence it did?*
- *What are the reasons Walmart failed in Germany? Use CAGE and AAA frameworks to explain.*
- *How would you rate Walmart's strategy for China? Will they have a good chance of success? Why/why not?*



Thank you.

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